

of a laundromat and acquired a television set for the living room. The husband's office was air-conditioned. And so on endlessly.

It's hard to overstate how big this surge was.

Commercial car and truck manufacturing virtually ceased from 1942 to 1945. Then 21 million cars were sold from 1945 to 1949. Another 37 million were sold by 1955.

Just under two million homes were built from 1940 to 1945. Then seven million were built from 1945 to 1950. Another eight million were built by 1955.

Pent-up demand for stuff, and our newfound ability to make stuff, created the jobs that put returning GIs back to work. And they were good jobs, too. Mix that with consumer credit, and America's capacity for spending exploded.

The Federal Reserve wrote to President Truman in 1951: "By 1950, total consumer expenditures, together with residential construction, amounted to about 203 billion dollars, or in the neighborhood of 40 percent above the 1944 level."⁷⁴

The answer to the question, "What are all these GIs going to do after the war?" was now obvious. They were going to buy stuff, with money earned from their jobs making new stuff, helped by cheap borrowed money to buy even more stuff.

4. Gains are shared more equally than ever before.

The defining characteristic of economics in the 1950s is that the country got rich by making the poor less poor.

Average wages doubled from 1940 to 1948, then doubled again by 1963.

And those gains focused on those who had been left behind for decades before. The gap between rich and poor narrowed by an extraordinary amount.

Lewis Allen wrote in 1955:

The enormous lead of the well-to-do in the economic race has been considerably reduced.

It is the industrial workers who as a group have done best—people such as a steelworker's family who used to live on \$2,500 and now are getting \$4,500, or the highly skilled machine-